- It is an enterprise in which investments in plant and machinery is between **25 lakh to 5 crores.**
- These enterprise works and operates to earn a small amount of profit.



(iii) Medium Enterprise:

- Medium enterprise refers to a business employing **maximum to 250 employees.**
- It is an enterprise in which investment in plant and machinery is between **5 crores to 10 crores.**
- These enterprises works and operates to earn a fair amount of profits to increase their standard of living.

(2) Service Enterprise

The service based enterprises provide services to the customer. These services may be related to field such as education, health, banking, communication etc.,

- Micro enterprise in which investment in plant and machinery is **upto 10 Lakhs.**
- Small enterprise in which investment in plant and machinery is from **10 lakhs to 2 crores.**
- Medium enterprise in which investment in plant and machinery is from **2 crores to 5 crore.**

7.4 Steps for Starting a Small Industry



An enterprise involves a large number of formalities which are grouped under **preliminary stage** and **implementation stage.**

7.4.1 Preliminary Stage

The preliminary stage consists of **9 steps.** They are:

Step-1: Decision to be Self-employed

All new entrepreneurs should have technical and commercial knowledge of their product along with required education, technical qualification, training etc. He should have capacity to raise the required resources and managerial skills. The decision to become entrepreneur is influenced by internal and external factors. Internal factors include educational background, occupational experience, desire to work independently in manufacturing line, desire to branch out to manufacturing and family background. The external factors include assistance from government assistance from financial institutions, availability of technology and raw material, demand

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